

MTAR Technologies Ltd

Concall Tracker — earnings-call read of the durable earning trigger & management consistency | Report date: 5 July 2026 | Screener ticker: MTARTECH

MTAR is a Hyderabad precision-engineering company. In plain terms, it is a high-end "job shop" for the world's hardest-to-make metal parts: it machines and assembles critical components for (1) clean-energy fuel cells — mainly the "hot boxes" that go inside **Bloom Energy**'s power servers in the United States, (2) India's **civil nuclear** reactors, (3) **space** rocket engines for ISRO, and (4) **aerospace & defence**. It makes money by being one of very few firms qualified to build these parts to exacting standards, so customers pay a premium and rivals cannot easily copy it.

1. Snapshot

Measure	Value	Plain-English read
Market value	₹21,635 cr	What the whole company is worth on the stock market — about ₹21,600 crore.
Share price (52-wk range)	₹7,034 (₹1,390–8,715)	The price has swung wildly — the low was one-fifth of the high — showing how divisive this stock is.
Price-to-Earnings (P/E)	~220	Investors pay ₹220 for every ₹1 of yearly profit. That is a very expensive price — the market is betting on huge future growth, not today's profit.
FY26 revenue (sales)	₹876 cr	Total sales for the year to Mar-2026, up about 30% on the prior year — the best year yet.
FY26 net profit	₹94–95 cr	Money left after all costs and tax, up about 76% — a sharp recovery after two weak years.
FY26 operating margin (EBITDA)	19.5%	For every ₹100 of sales, about ₹19.5 is operating profit before interest, tax and depreciation. Down from the ~28% MTAR earned years ago.
Return on capital (ROCE)	15.2%	The business earns about 15% a year on the money put into it — decent, but below its own history.
Debt	~₹370 cr (rising)	Borrowings are climbing to fund a big capacity build-out; management targets keeping debt-to-equity near 0.5 (i.e. modest).

Note: Screener's yearly figures are standalone; management reports on a consolidated basis. For FY26 the two match closely (₹876 cr sales), so the numbers here are reliable. All rupee figures are in crore (1 crore = 10 million).

2. Concall coverage

We read the **12 most recent earnings-call transcripts** from Screener (Aug-2023 to May-2026), spanning about three years — every quarter over that stretch. This is a full, unbroken read of the recent record; the latest call (Q4 FY26, held 13-May-2026) was present and read in full. One much older call (Aug-2021) was flagged missing by the scraper but sits well outside the 3-year window and does not affect this analysis.

Quarter	Call date	Transcript read?
Q1 FY24	11 Aug 2023	Yes
Q2 FY24	09 Nov 2023	Yes
Q3 FY24	14 Feb 2024	Yes

Q4 FY24	29 May 2024	Yes
Q1 FY25	14 Aug 2024	Yes
Q2 FY25	30 Oct 2024	Yes
Q3 FY25	11 Feb 2025	Yes
Q4 FY25	23 May 2025	Yes
Q1 FY26	06 Aug 2025	Yes
Q2 FY26	06 Nov 2025	Yes
Q3 FY26	30 Jan 2026	Yes
Q4 FY26 (latest)	13 May 2026	Yes

★ Latest concall highlights — Q4 & FY26 (call held 13 May 2026)

- **Record quarter and a real recovery year.** Q4 sales were ₹306 cr (highest-ever quarter) and full-year FY26 sales were ₹876 cr — up about 30% on FY25's ₹676 cr. Full-year net profit jumped ~76% to ₹94 cr. Plain read: after two flat, disappointing years, MTAR finally grew strongly and profit nearly doubled off a low base.
- **Guidance raised sharply for next year.** Management lifted its FY27 forecast from "50% growth" to "**80%-plus revenue growth**" (roughly ₹1,600 cr) with operating margins around 24%. Plain read: they are promising the fastest growth in the company's history — a very bold claim.
- **Order book at an all-time high.** Closing order book (confirmed future work) was ₹2,580 cr — nearly triple the ~₹915 cr of two years ago — though it fell just short of the ₹2,800 cr they had guided, because some nuclear and defence orders slipped into the new year. They target ~₹5,000 cr of orders on the books by end-FY27.
- **New AI-data-centre customer.** MTAR won a first-article export order (₹35 cr) to supply assemblies for AI data centres for a second international customer, with potential of ₹400–500 cr over a couple of years. Plain read: the AI-power boom is opening a new leg beyond Bloom.
- **Cash finally improving.** The cash-tied-up cycle (working-capital days) dropped hard to 172 days from 278 the prior quarter, and cash from operations was a strong ₹197 cr. Plain read: a long-standing complaint — too much cash stuck in inventory and receivables — is easing.

2b. Business mix & capacity (quick-glance)

Where sales come from: Exports are the majority of revenue — management states **more than 70% of revenue is exports** (mainly the United States, plus Europe and Israel); imports of raw material are only ~30–35% of costs. Clean-energy fuel cells (Bloom) are roughly 55–60% of total sales, with nuclear, aerospace/defence, space and products making up the rest. Plain read: MTAR is largely a dollar exporter, so a weak rupee helps it, but it leans heavily on one end-market (US fuel cells).

Capacity & utilisation: The fuel-cell (hot box) plant was running at **~100% of its ~8,000-unit capacity** as of early 2026 — i.e. maxed out. Management is expanding hard: 12,000 units by March 2026, then 20,000, then up to 30,000 units, spending ₹250–300 cr over FY27–28. Plain read: demand is outrunning capacity, so growth now depends on building new lines fast — and on that demand actually showing up.

★ 3. Earning-trigger thesis (the headline)

MTAR's growth engine is a **surge in orders for Bloom Energy's fuel-cell hot boxes, driven by the AI-data-centre power boom** in the United States — layered on top of a genuine, newly-landed **civil-nuclear order wave** in India and a fast-scaling aerospace/defence business. Bloom (MTAR's biggest customer) signed a \$2.65 billion supply deal with American Electric Power and is deploying at Oracle Cloud data centres; its demand has pushed MTAR's hot-box plant to full capacity and forced a 3–4x capacity expansion. Separately, MTAR finally received the long-awaited ₹500 cr+ Kaiga 5 & 6 nuclear order and is quoting for five reactor-refurbishment projects. After two lost years, the order book has roughly tripled to ₹2,580 cr and FY26 revenue actually grew ~30% — the trigger is now visibly playing out, not just promised.

Trigger	What management said	Evidence so far	Time horizon	Strength
Bloom fuel-cell hot boxes (AI data centres)	Demand "phenomenal"; expanding capacity 8,000 → 30,000 units; Bloom growing ~30%/yr to 2030	Plant at 100% use; FY26 clean-energy sales ₹417 cr; Bloom's own \$2.65bn AEP + Oracle deals confirm demand	Now → 3–5 yrs	Strong — concrete, live, evidence emerging
Civil nuclear (Kaiga 5&6 + reactor refurbishments)	~₹1,000 cr of nuclear orders expected; India 100 GW nuclear by 2047	₹500 cr+ Kaiga order received in FY26; nuclear order book ₹650 cr+; execution over 3 yrs	FY27 → FY29	Strong — order landed; execution just starting
Aerospace & defence (IAI, GKN, Weatherford, AMCA)	~80% growth in this vertical; long-term deals (IAI 15-yr \$90–120m)	Sales grew from ~₹9 cr (FY24) to ~₹72–93 cr; first-articles converting to volume; AMCA structural-assembly order won	FY27 → FY29	Moderate — scaling well but still small
New AI-data-centre & oil-&-gas customers	₹400–500 cr potential (data centre); Weatherford \$35–40m oil & gas	First-article orders only (₹35 cr); dedicated plants being built for FY27	FY27+	Unproven — early first-article stage

4. Management consistency scorecard (promised vs delivered)

This is where the record is uncomfortable. For two straight years management set high guidance and missed it badly, then cut it — repeatedly blaming a customer (Bloom) transition. FY26 is the first year in three that guidance was actually met.

Period	What was promised	What actually happened	Verdict
FY24 (set Aug 2023)	Revenue ₹830–860 cr (45–50% growth), ~28% margin, ₹145–150 cr profit	Revenue ₹581 cr (flat), margin ~18%, profit ₹56 cr — cut twice mid-year as Bloom deferred ~1,200 hot boxes	Missed
FY25 (set May 2024)	Originally ₹900 cr (45–50%), then cut to ₹725–750 cr, ~21–22% margin	Revenue ₹676 cr, margin ~18%, profit ₹53 cr (down again) — below even the cut number	Missed
			Delivered

FY26 (set May 2025)	25% growth, ~21% margin; raised mid-year to 30–35%	Revenue ₹876 cr (~30% growth), margin 19.5%, profit ₹94 cr (+76%) — guidance essentially met	
Order-book target FY26	Closing order book ₹2,800 cr	₹2,580 cr — near target; shortfall from deferred nuclear/defence orders	Partly
Working-capital days	Target ~200 days "by year-end" (repeated every year since 2023)	Stuck at 250–280 for years; finally fell to 172 in Q4 FY26	Partly / late
Fluence Energy battery storage	1,000-unit letter of intent, ₹130 cr, "closing this quarter" (2023–24)	Still only prototypes 3 years on; customer quietly dropped from the base in 2026	Dropped
FY27 (set May 2026)	80%-plus growth (~₹1,600 cr), ~24% margin	Too early — but a very aggressive claim against a spotty record	Too-early

Narrative drift: The *story* has been remarkably steady — for three years management has repeated the same themes (Bloom fuel cells, diversify into nuclear/aerospace, reduce customer concentration, improve margins and working capital). What drifted was *delivery and timing*: guidance was chronically too optimistic in FY24–FY25, and an analyst openly confronted them in May-2025 with "every time we guided, we've been running short," to which management admitted "there were some misses." The tone through the bad years stayed defensive-optimistic ("temporary correction," "long-term story intact"). Encouragingly, from FY25 they began guiding more conservatively and FY26 delivered — but they have now swung back to a very bold 80%-growth call for FY27, which the market will judge against a memory of broken promises.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete and still-live driver, and — unlike two years ago — it is now visibly playing out. Bloom's fuel-cell demand (powered by the AI-data-centre boom) has maxed out MTAR's plant and forced a 3–4x expansion; the long-promised nuclear orders finally landed (₹500 cr+ Kaiga); the order book has roughly tripled to ₹2,580 cr; and FY26 revenue actually grew ~30% with profit up 76%. The main caveat is concentration: the trigger still rests heavily on one US customer (Bloom) and on a big capacity bet paying off. But the evidence in hand — record quarters, a tripled order book, and new AI-data-centre and nuclear legs — makes this a genuine, deserved Yes.

Management consistent? → MAYBE

Mixed, and only just recovering. For two years (FY24–FY25) management repeatedly over-promised and under-delivered — guidance was cut and missed, the Fluence opportunity was hyped and quietly dropped, and the "200-day working capital" target slipped for years. That is a real strike against them. In their favour: the underlying story never wandered (same fuel-cell + nuclear + diversification thesis throughout), they began guiding more conservatively, and FY26 finally hit its numbers with cash flow and working capital improving. But they have immediately reset expectations to a very aggressive 80%-growth FY27 target — so trust is being rebuilt, not yet earned. This is a Maybe: too many recent misses for a Yes, but the steady narrative and FY26 delivery rule out a No.

Sources: 12 MTAR Technologies Ltd earnings-call transcripts (Aug 2023 – May 2026) from Screener.in, cross-checked against Screener financial statements. Prepared for internal research use.